Milton Berg: I Have Evidence Market Has Likely Bottomed | Why Miltonâ€™s Long Semis, Korea, Nasdaq, and More (With Caveats), and Why He Thinks Gold has made a Multi-year Top

Podcast: Monetary matters

AI Executive Summary

AI Summary failed to generate. Ensure Ollama is running and has sufficient memory.

Full Transcript

I am joined once again by Milton Berg of MB Advisors and Milton Berg Edge. Milton is one of the greatest market technicians alive and he focuses on a lot of things that most technical analysts don't follow. So he's mostly not looking at charts. He's looking at data. He's looking at turning points. Milton, it's great to see you again. Welcome back to monetary matters. Thank you, Jack. Nice to be back. We have a nice meeting last time February 5th, right after Gold Peak. And now we have a good meeting because it looks like. Stocks may have bottomed at least the semiconductors and the conspy may have bottomed. They have to really sharp decline. Let's see Yep, you had a great call when you identified the top in gold and silver I believe you actually sold your personal precious metals the day before the high actually the day of the high day of the high day of the high so Milton I know you got a lot of buy signals in early April We will get into that over 30 buy signals with median projections of between 8,000 and over 10,000 on the SP We will get into that in a moment Milton, but first Where do you think stand right now? Tell us about the panic low you saw in July 29th, the potential bull readings you see right now, potential readings you see now, and to what degree your confidence and why in your various portfolios and model portfolios you are positioned the way you are. So what's your frame, what's your positioning right now and why? Okay, well currently we're positioned 100% long. This is our positioning. EWY is a Caspian Dex, we're positioned 5% long Caspi. Korea.

Korea right position not nearly 10% long the Russell 2000 5% long the S&P mid caps 10% long the Nasdaq 100 20% long the socks and 49 nearly 50% long the SP 500 through the spy on pointy how we just positioned long on July 29th and 30th because we were short until then so we actually covered our shorts the day the low day after the low and went long So that's really our position currently. It's really diversified Mainly you know in this the socks is index that lost some over 20% we'll get that in a minute and the Cosby of course is down nearly 40% So we really got into the losers thinking that they were way oversold or some panic selling They should at least have a short-term balance if not more anyway, that was our position But basically we're bullish the market now along the market with some

caveats with some very very important caveats I can start with the SP 500 if you'd like And the SPF 100 basically peaked in late May. It made a mine in Ohio in June on a closing basis. But it collapsed about down 40% of the June 9th, just a couple of days after its peak. And never made a lower low. The low in July 29th was a positive divergence against the low in, I think, was June 9th. June 29th low was above the low in June. So that's what's called a positive divergence. The market, although people are panicking, selling out of semiconductor stocks, The NASDAQ 100 is making new lows, and the Philadelphia Semiconductor Index is making new lows. But the SAP does not make a new low, which is positive divergence, which a technician would say, that's just a sign that the market should be headed higher. That's one positive sign. I use it with termite-gummary date. Every time I mention cycle dates, people, I know people comment on your site, oh, what's he talking about? I shut this off as soon as I heard about cycle dates. I want to point out that we have some of the most sophisticated money managers in the world as clients.

And they're very, very happy that we talk about cycle dates, because cycle dates is something that other people don't look at. People talk about seasonality. We see it now. It's also something which really doesn't make any rational sense. But the cycle dates often work very, very well in pinpointing market turning points. Earlier in the year, if I can show you here, we listed what are cycle dates. As you can see, we had a cycle date on January 30. It was the day the gold collapsed, you see. I made a cycle date right here on July 29th, 2026 cycle date. That was the center of the date. The point is, the cycle dates help us out and pin-pointing trading points. The reality is that the S&P bottom on July 29th made a nice spike low, turned right up, made a new high on a closing basis on Friday, and today it's down a bit. But it basically, the market was bullish off the July 29th high, low, and we were long. Looking at the technical analysis over here, I point out that there's another cycle period right now, you see? This square here, or this hip square, is telling you that the next four days, it's possible to see another trading point where the market might peak. Now, what's the logical reason? Why would there be a trading point if the market just bottomed? The reason is because maybe the market is making a broad top here. The reality is, although the SPs have a new high on Friday's close, you look at other indices like the Nasdaq 100, Nasdaq 100 is below its low of early in the

year, below its low of June 2nd. Nasdaq at its high, it's 3.02% below. It's currently 3.02% below the high it made on June 2nd. And take another index like the Philadelphia Semiconductor index as well. And that, at Friday's close, was 15.57% below its peak on June 22nd. So the point I'm trying to make is, although we were bullish on the market, And although we're thinking of the market rally, it's possible you got it always saw in July was a short-term low with a sharp, sharp rally. You know, you had the five-day rate of change was the greatest in over a year and two over the major indices. So you saw a very sharp rally last thing about maybe around six, seven days. But it's possible it's just a leg up with negative divergences, negative divergences meeting. You have to be making it no high, the Russell made it no high, but many other broadensies are not making no highs.

And as possible, we'll go back down to test the lows. Now, let me give you a historical example. Now, you realize we had a serious decline in two major indexes. We had a serious decline in the Caspi. Korea. Korea index, right? The major Korean, it would decline 43.93% in 27 days. Bottom, again, on July 29th, the Montgomery cycle date, which was a 30.8. And we had the Philadelphia Seminary Index. also had a major decline. I mean, that was a leader up over 100% from its lows in March to its peak in June. It declined 28.73% into the July 29th low. So I gave, historically, when you see a crash low, at least historically, these lows are tested. Markets generally don't crash and go straight up. Now, of course, there was an exception in the COVID situation when the market was down some 35% or so into its COVID load and made a V bottom and turned right up.

That's generally not the case. Now, I give two examples of what might happen now. And this is the 1987 crash low. You see, the market was down, SPU was down 45.94%, similar to the decline we had in the Caspi. That was low, but it ultimately tested the low, came within a percentage point of low two months later. That's what happened at that particular crash low. Therefore, I'm suggesting that the Caspi and the SOX may rally, may peak right around here and trade back down to the lows. It may peak right around here, because as I said, currently in a cyclic period which has called in the past the end of short short short short short short rallies after what you call a cyclical low. So basically we're positioning 100% long we're bullish we're

on the lookout for the possibility of a short-term top here and we don't think the S&P would would test the lows if we're in a bullish situation but we think it's more than more than a random chance that the socks index and the cat speed next trade back down towards the lows.

Sometime in the next month or two and we're cautious about that now again with 20% long the the socks the Philadelphia semiconductor index and we're 5% long the Cosby I wouldn't be long by his shorts. It's gonna test its lows So really watching out to see whether it will be evidence of a trading point right here in the current market there is evidence There is Equivocal evidence that the markets topping here and that is because you see this this gap in the Nasdaq now in the x100 gapped into before they have to float and generate a gap. Now, a gap or for low is usually considered a breakaway gap, right? It's usually a positive gap. But I've seen in the past many, many instances where the market makes a spike low, rallies up, and this gap is actually exhaustive. It's a sign that people think the bull market is still intact, or headed for a major up and move, and don't leave the market turning down. So this gap, I say it's possibly exhaustive, possibly a negative sign. If we're being positive of a sign, the market really shouldn't head straight up.

This gap should have been followed by a straight up market. But in fact, it's followed as you can see by a trading market. That's in the Nasdaq 100. And you see the same thing in the Caspian next. You see, Caspian next had a major decline, a major reversal. And then it gapped up right here. And that was its gap into its recovery high date, you see? So on a technical basis, when you see a gap into recovery high, unless it follows through immediately to the upside, it's called exhaustive. The logical exhaustive is there are people out there who lost a lot of money. The people out there who, luckily, were not in the market and they didn't lose money. They're saying, wow, the cost is down nearly 44%. Let me get in and they get in in a panic because they don't want to miss the move, you see? And that shows up in gaps. So that's another reason to think we're going to test the lows. Or the best case scenario is the gaps tell you you're going to test the lows. The worst case scenario is that this is just a first leg in a beer market and the market is going to be headed lower. I don't think that's the case at this point. I don't have evidence for that, but of course, that is a possibility.

So in summary, the S&P made a nice low positive diversions. It's rallying. We're low on the S&P. We're going to look out this week, see whether it's going to make a short-term top. We showed the fact that the net selling inequities by retail people was greatest since 2022, which is a positive for the market, especially if the conditions are bullish, the background conditions are bullish. We showed the semiconductor index had a major crash down 28.73% in a short period of time. It's a recovery rally. But you see the gap? You had a gap right here, and you have a possible cyclic top. So we're on the lookout for the possibility of a short-term top, but we're still long. That's what happened in the same situation. They had a panic low, big rally, a gap which looks exhausted because it didn't follow through to the upside. And the same thing with the Cossop. Big crash. Most likely the crash is going to lead to a three, four, five month strong upside move, most likely. It's also quite likely.

quite probable that's going to test its load before that. But there's an outside chance this is the first leg up in the bear market. I have no evidence for that. I don't see anything within the economy or anything other than speculation in stocks. I see nothing in the economy that suggests at this point is the reason to suspect that this is just one first leg down in the bear market. Unless we're headed for a major recession, major economic dislocation, I see no reason to think this wasn't just a normal crash. which will be followed by a multi-month rally. That's the most logical scenario, as I see it. But we're on the lookout. As I pointed out, in 1987, you had a similar crash, similar to the Caspi, marked rally sharpie for a few days as the Caspi did. Then it started churning and made a low-closing low, but not a lower interday low. I told my clients on the institutional side, if the Caspi tests the lows, it's quite possible to make a new closing low.

but should not make a new interday low. If it makes a new interday low, it's more likely that it was just a leg up in the bear market that will continue. But we see no economic evidence to suggest that a 43% decline should lead to even greater decline over the short term. Very little reason to believe that. So that's about it for my current view. I'm not in long with the gold and silver. I had been long. We got out, and the market has been rallying. But the same story, since we're in a cyclic period, that rally may taper off this week at the golden, you know, long-term we're still negative on gold and

silver. We're thinking a major multi-year high back in January, based on the evidence we pointed at that time, which I may show you later on in this interview if we get to gold and silver. So you like the fact that the S&P 500 held in well as the semiconductor index, as the Korean stock market, as the NASDAQ were declining. To you that's bullish for the S&P 500, let's talk about the eye of the storm. Those three assets, the semi-index, the nasdaq and the korea which i would argue you know we're putting my fundamental hat on that are very similar to the same trade given that korea is like 50 semi-conductors or semi-conductor adjacent and semi-conductors obviously semi-conductors and nasdaq are dominated by semi-conductor and in tech so it really is the ai tech hardware trade why for your institutional clients where you short you know in that june you know june to july 29th and why on that july 29th low Did you subsequently cover your shorts and then go long on July 30th? And tell us about that signal that you saw in terms of panic liquidation, which we now know was a hedge fund liquidating all of its public longs and publicly traded holdings. Just tell us about that signal.

that you saw on July 29th, July, July 30th, July 29th. And I know you want to go back, we will go back, but just that's my question. It has to do with why we're short. So we really have to go back to our last conversation. Sure. Sure. Okay. Okay. The charts in the movies last book of February 5th. I showed you, we have an indicator which doesn't always work, but when it works, it works very, very well. It's called the VXN deviation from trend indicator. And basically tells you this panic buying in the VXN VXN is the VIX for the NASDAQ 100. It's called the VXN. Okay. These signals occur when there's a sharp short-term decline in the VXN relative to a longer-term average. Now, when a longer-term average is not going to be, I promise you, it's not more than three weeks, okay? I'm not talking about the one-year average. We're talking something like three days over 14 days, or four days over 17 days, something like that. Anyway, we got a cell signal on December 11th, 2025. Now, what happens in December 11th, 2025? I'm going to bring the NASDAQ 100 right here.

If I can bring it, do you see this, this is my screen, NDX back, this is back here, you see, NDX peaked on October 29th, 2025, but really went nowhere for quite a number of months. NDX peaked on right here on October 30th, and by this date of January 28th, it was down 0.027% it looks like. So really

it went nowhere. Having said that, it got nowhere. We had a sales thing on December 11th for the market in general. So that was one of the one of the background reasons we believe that the market should decline In fact, looking at the Philadelphia semiconductor index, okay Here's a semiconductor index, you see, because I also did nothing for that period basically, you see It did nothing and we're on ourselves to go. It's one of the reasons we were negative But more than that, you see this site, this little exhaustive gap, maybe I can make it a little bigger so you can see it. Yeah See this there were two gaps two gaps in a row in the in the in the in the socks index So let's say we look right here into this peak it reminds what a gap is Milton the gap is where the market opens up above the previous days into day high and Stays above it all day Which is very a very rare occurrence? It's certainly a very rare currency in a broad index. There's a market opens higher Opens higher than its highest high of the prior day and holds it for the full day So that's a positive gap. The negative gap is when it opens lower than the previous. Well, it's not a positive gap. It's an upside gap or a downside gap. An upside gap is very often a negative gap. It's a sign of panic buying. People don't care about price. They don't care that we're buying an index at a price higher than it traded in the last day or last week or last month, which was the case here. They didn't care. And they bought it, and it basically gapped it. This case was exhaustive.

Now, you never know if a gap is going to be exhaustive. A gap can either be what you call impulsive, headed high or exhaustive. When the gaps come after a long move, it's most likely to be exhaustive. When the gap comes after a decline, upside gaps after a decline, it's most likely to be impulsive. That's the rule, one of the rules. Now, we have no hard and fast rules. We watch the market each day, and we determine, based on another indicator, whether it's likely this move is exhaustive or or impulsive. Anyway, these gaps proved to be exhaustive. The sacks did not manage to get significantly higher than it did at the time of these gaps and ultimately declined 16.64%. So the reason we were short really was things we spoke about last time, which was that we had a cell signal on the VXID indicator. This was the history of the declines for the successful signals. The history of the declines were down 17, down 23, as you can see. In our instance, The SOFs declined some 16% to its low in March. The SP declined some 8% or so to its low. So it wasn't the greatest signal, but the reality was that it was one of the

reasons we were made short. Combined with the track patterns I showed you, combined the fact of exhaustive gaps, combined the fact that the market got nowhere for a while. And then on March 30, we'll get to later, as you said, from March 31st through the end of April, we had At least 20 bi-signals which got us long and as you know, you know, it was a historic rally not necessary stark rally for the SP 500. Oh, some people claimed it was but certain was historic rally for the Philadelphia semiconductor index gained over 100% or the S&P technology index was gained over 90% So really is historic rally. So this the sharp decline we saw into the lows into the lows of March 30th was a setup for the move we just had. And the question is, is that move over or is that, you know, part of a bull market that we'll discuss a little later on. This is what I showed you last time. I showed you the gap. You see, this is a gap in January of the Russell. This is a chart. I just copied it from our last interview and I suggest this is bearish. Now, where did the Russia go from there? The Russell ultimately went, this is the gap I showed you, you see? I hope he's applying the total of 12.07%. So that gap.

proved successful even though we spoke last time all I was able to show you was a few days action which is right here you see but ultimately that got proved to be an exhaustive gap and it was an island reversal as well these are all technical terms but the reality is reason we were short was because the market gave indications of a top we did no idea what and I said at the time we have it's quite pot at any given day now it's possible the market to make a major long-term top everything that is necessary For the market to be at a long period of time is basically in place. You have overvaluation, you have in many measures, you know, the so-called Buffett indicator of market capital GDP, which has been overvalued for a decade, but it's more overvalued than ever in history. When you look at margin debt, for example, relative to cash balances, it's highest in history. When you look at what her interest rates are acting with the long bond, even the short rates, they're rallying.

It's quite possible to market top right here and we head for multi-year bear market. It's quite possible, but we're not projecting that. If it happens, it wouldn't surprise me, but we're not fear mongers. I'd rather market give me evidence that it's topping, and at that point, we'll decide to either go short or just get out of the market, get into treasure builds. But at this point, with the

market making a new high on Friday, S&P, even though there are divergences, we want to see more evidence that the market's topping. There's strictly some divergences. As I said last time, I say it again. All these fear mongers out there are correct. It's quite possible that the market peaks today and creation is 50 to 80% over the next year. It's quite possible because the background is in place. However, the fact that the background is in place does not mean the bull market has ended because the nature of what you expected the bull market is that as much as overvalued as it is and how as much evidence as there is in the market topping, it doesn't top until it tops. And that's the case now. I'm saying this because every time I turn bearish, In the back of my mind they say, I don't know if it's going to be a correction or a bear market. I have no idea. We go bearish when we see a turning point signal at a top, and we get bullish when we see a turning point signal at a bottom, but we really, when we see a top, especially in the current situation, we have no idea whether it's going to be just a corrective decline or a major bear market, because the background is definitely in place, and I'm not going to argue for a major bear market. Now, one thing that's not in place is, you usually don't get a major bear market until the Federal Reserve tightens and haven't tightened yet.

So we don't want to anticipate will the Fed tighten or not But it's most likely that Kevin Walsh will tighten and he most likely lose him quantitative tightening as well besides raising rates But you don't have to anticipate it, you know, usually bear markets take place after the Fed moves Bear markets don't bear marks anticipate the economy I mean stock markets anticipate the economy, but they don't anticipate federal reserve moves They wait for the federal reserve to make it make a move before the markets turn So therefore for that reason it's likely the market is not really peaked yet at least the SP500 The high we saw on Friday is most likely not the final peak, but it's possible that it is. So I don't know if you answered your question about what we're seeing now. So let me show you this. It's Cosby. Cosby had an exhaustive downside gap two days before the low. On July 29th, yeah. Yeah, two days before July 49th. We told our clients we expect one day of panic. We had one more day of panic, and that's when we got low. Because usually you don't see one day of panic. Usually it's two days of panic into a crash low.

And that's what we saw. The type of low you saw, when you have this major liquidation, major margin liquidation, you have people in the United States who weren't necessarily liquidated on margin, but selling because of what's happening in Korea, that's really a reason to go count to the market and to go long. And we really waited for the evidence at the low. Besides the Montgomery date, we saw the reversal. We went long on the reversal. So not a lot of sophisticated analysis here. Strictly market watching. Analyzing markets and keep going top. This is a very important line. I didn't mention this line across right here little dotted red line This is the SP 500 SP 500 broke to a new all-time high This is the line. This is the previous all-time high. This is a breakout, but it broke out on the gap. You see Usually when you break out of the gaps and impulsive gap usually it's a sign that Mark said much higher usually and I am I'm gonna even right now I said we're 50% low in the S&P We're giving you the benefit of doubt. This is the be impulsive gap But let's see what happens over the next few days where you have this, we have this Montgomery date, you have this trading point date, but you know, we were staying long through the evidence, the things that changed. But this is a very bullish pattern. This is a very bullish pattern where the market spends a couple of months below an all-time high. And then when it breaks to the all-time high, it breaks in an upside gap, which means there's a lot of underlying buying pressure. Most likely that is bullish, I'd say 80% of the time it falls through to an upside market. So that's based on chart patterns alone.

of why we're bullish currently. Now, it's also based on data, and I'll have to get to the data a little later. But this is what we see at this moment. And Milton, one thing you've said to me is that everyone wants technical analysts, market technicians to call market tops. But actually, it's far easier to call market bottoms. So even though you made a bear call when we did our interview in early February, and that happened to be right on the Russell S&P, congratulations. But you actually have less confidence in bearish signals than you do in bullish signals. And actually, I think some of your, you've had some incredible calls over the interviews that I've had with you over the past four years, but I think some of them have been right after market panics on the bullish side. And that is kind of where we're positioned right now. Right. This is the story. The reason most technicians

and most analysts are always trying to call a top because they're worried about a top.

Most investors are along the market. Let's face it, 99% of investment is along the market. You're lucky to see 1% or 2% short interest in a broad market. So throughout the world, the trillions of dollars, the S&P 400, people are invested long. By the fact they invested long, they're worried. They're not worried the market's going to rally. All they're worried about is the market might decline. Now, they're really not worried about a minor decline of 5%, 10%, or 15%. They're really worried about a crash, 50%, 60%, 70%, 40%, right? That's what they're worried about. And therefore, technicians and market analysts always worried about that. And I say, I've learned over the years, I've been in this business for more years than I can count. It's not necessary to anticipate a bear market. Wait till the market declines 4% or 5% or 6% or 8% or 9% and get out then in anticipation of the market may go down another 30%. You don't have to call the exact top.

And now I have to call the exact top. It's very difficult to call the exact top because the nature of market tops are that they're generally the rolling tops. They're generally not V tops. They're not V tops. They're generally rolling tops for one index makes a high one month and another makes a high another month. And it's very difficult to call. I've never found a technician who's been successful in calling market tops consistently. And I found a technician who's been successful in calling market bottoms consistently, at least based on his data. And that's myself because we've modeled every market low since 1957. And we have thousands of, we can show it to you later, we have thousands, you can give me any date and I'll tell you what, show you our model for that date. We've modeled every market low. So I found for myself it's much easier to call a market low. You don't have to call every market top. If you get it, if you get it into lows and get out eight or nine percent after the peak, you're going to do fine. Stock markets don't make sharp, sharp tops. They make rounding tops, but You know, commodities make sharp top like oil. Yes. One of the reasons commodities make sharp tops is because unlike the stock market, commodities trade in the futures market. They don't trade in a real exchange. For every short, there's a long. They're very long. There's a short. Anytime you see a market rallying, anytime you see commodity market rallying, you know that there's

a lot of shorts on the other side of that trade. And those shorts are going to panic into a top and cause a spike top.

And the stock market is the other way. People don't really panic when the market's rallying. The shorts may panic, but you don't see there's not enough shorts to cause the market to show panic evidence at the top. And then at the bottom where trillions of dollars are along the market, that's when people feel they have to sell, even though they're told by their advisors that over the long-term market stories rally, which is not really true, but they said the total long-term market stories rally, people still panic when their portfolio is down 20% to 30% or 40%. or 50% depending on the person's constitution. So therefore, you see panic lows in the stock market. You don't see panic. Now we see panic tops because we're looking at very subtle information. We're looking at, for example, exhaustive gaps that take place at the top. Or we're looking for negative divergences, which are very, very subtle, which most people can't see. At market bottoms, though, the evidence is not so subtle. It's really blatant and obvious, but people ignore it because they're afraid that the market is going to go low. Cosby is a perfect example.

Cosby down 40 43% 45% No, this is 87. Cosby down 43.93% in 27 days. And now everyone's afraid it's going to go lower. You know, I mean, you should have been afraid it's going to go lower at the top. Now they're afraid it's going to go lower, afraid to get it. And I say to myself, evidence is at its bottom, let's get in and it's going to make a test of the low. Maybe we'll, we'll, we'll sit through the test. Most likely we'll get it early and buy again at the test. And if it's in the unlikely scenario that's going to immediately go down and make, you know, we're down to 50, 60, 70%. We'll be out because once the internet is violated, we know that we're wrong and we'll be out. But people always worry about the client after the decline. I remember the crash of 87, I was involved in the market. I worked at Oppenheimer at the time, crash of 87. I called the crash very well. I managed a mutual fund that went into 90% cash at the top. There's another story. But I remember at the bottom, all my portfolio manager in the group who were bullish at the top.

But bearish at the bottom, they're afraid to buy. I said buy, buy, buy. Now's the time to buy, but that's just the nature of this business. So yes, stock markets make V bottoms, spike bottoms. They make round the tops, you see? But commodities are differently. See, even this in the Caspian's are round the top, because they have a top here and a top here. Not much of a difference, you see? Well, let's look at the Nasdaq 100, the latest top, you see? A slightly lower peak here, a slightly lower peak here, you see? But the bottom, on the other hand, most generally is a V. Sometimes you're tested and come off with another V. Semiconductor, the same story. You had a double island reversal. Very, very rare. I've never seen it before, actually. A double island. This is the Junetop. I point out to my clients, I know a reversal right here in early, mid-June. And then in late June, a double island reversal, right? If an island reversal is, it gaps up, then the market gaps down and creates two spaces, which creates an island. Island reversal, island reversal here.

This is also, you know, it's not a V-top. This is really a rounding top, as you can see. The bottom looks more like a V-bottom. We'll see whether that continues to the upside today. Right now, the semiconductor's actually made a new high on Friday, I think. The semiconductor's generated a new inter-day high on Friday, another slightly higher inter-day high today, but now it's down to the day. But so it's doing fine. You know, this gap might prove to be impossible. We'll see. Let's see what happens. Okay. That's the current market. I'd like to tell you the why really why I'm bullish and that's strictly because that's strictly because of the cycle laws and the action we've seen off the laws. That's not the main reason I'm bullish. There are more important reasons that I'm bullish. So you have to go. We have to go back in time. March. March to April. Go back to April really. Right. Go back to April and was when we got the buy signals. I counted actually I think you got over. You got at least 34 buy signals in late March early April.

And they had median projections on the FSNP 500 from 8,200 to over 10,000 on the SNP. Sorry, start to steal your thunder. No, they're not going to steal the thunder, because without evidence, without showing the data, you know how many people get up there, even on your show? And they project, you know, the world is going to 500, the civil is going to 2,000, without really evidence. No, it's just fantasy. It's just fantasy. It's just a

dream. It's a fantastic dream people have, without evidence. So at least every time you make a projection, it's based on evidence. And we don't trade based on projections. But everything we do is really based on evidence. And let me get to that right now. So we're going to get to really why we're bullish. We got a buy signal on March 31, which I ignored at that time. I'll tell you why in a minute. And we got a signal on April 10, April 13, April 4. We got multiple signals. April 14, April 15, April 16, April 17, April 20, 22nd and 27th. Let's take one at a time. It won't be complicated.

Just to show you what we saw. This signal was ignored because it only happened once before in history, and I don't use signals that only happened once before, even though it was a clear oversold market on March 31st. What happened at the time? The SP400 was down for five weeks in a row. And these are not calendar weeks. We break up the market into five-day segments. Each segment is called a week. So the SP400 was down five-day segments in a row. Whereas 2000 was down five weeks in a row. SP500 was down five weeks in a row. And then, right, and the OEX was up 3% for the day. What's the OEX? The SAP 100 index. The one of the largest stocks in the SAP was up 3% on that day. This is March 31st. This is March 31st, right?

The S&P made a four-day high, one-day pass to four-day low, which is also a rare occurrence. Rust was up 3% of the day, March 31st. NASDAQ up 300% of the day. S&P 4% is up 200% of the day. S&P 500 is up two or three quarters of another day. S&P advances of the clients was greater than the 4 to 1. S&P 400, the mid-caps advance of the clients is greater than the 4 to 1. S&P 600 advanced clients is greater than the 4 to 1. Unfortunately, it's only happened once in history at a major, major market low. It's just right here at the COVID low. Let me show it to you. It only took place once before the COVID low to have all these things happen at the same time. All these markets on five days, five weeks in a row and one day past that low, all these markets are 3% or so on and strong ad line. We couldn't use it as an indicator, but that exact same thing happened right here on March 31st, 2026. Yeah, so Milton, I mean, so you have, you know, people who do sports betting are familiar with the term parlay of, oh, I expect A to happen and B to happen and C to happen. You kind of have this 11 or 12.

things signals where all of these things were triggered at the same time and but this thing has only happened once and it was on March 24th 2020 which was one day after the covid law one day after the law i mean Milton if i know if i get a call and it's you and you say jack i've got a 12 leg signal it's only been triggered once and it's been triggered on March 24th 2020 are you buying are you selling are you holding i'm saying i'm buying i'm buying you know what i have a discipline that I don't trade on the signal, it only signaled once, even though logically you were right. And I always tell my clients, this is illogical, but it just protects me. In this case, of course, we had to lose 8%. We didn't get a conventional bicycle until April 10th, which is eight days off the low. This signal took place one day after low. So I'm admitting my errors, call it an error, but in the future, if it happens again, it will be a bicycle, now going into my model, since it happened twice. But the point is this projects to 8565.42.

as a medium projection within a year of the signal, which is another 10.42% above current levels. Okay, let me get to the next one. Wait, Milton, sorry, sorry, but I have it as it projects to 10,000, 10,600. Yeah, you're right. Let me tell you why I'm doing this. And I guess a good question. I didn't think I thought I'd get to buy you. Yeah. Once before, there's no median, you see? I see. And let me get you the numbers. Boy, oh boy, here it is. Yeah, the March 24th. That was before the market gained 62.39% within a year. However, within 60 days in a signal, the SP gained 16%, which exactly half of what it gained after the 2020 low, 2020 low. So I cut the projection in half to make it fair because I couldn't use the 62.39% here. So technically Milton, you had a signal that was ridiculously bullish on a sample size of one to be fair, but ridiculously bullish and you You made the non-systematic discretionary decision to say, actually, I'm going to tone it down. I'm going to tone the bullshit. I did it based on data. I did it based 60s after the signal. It had a great move of 16%. That's phenomenal. But it's half of what took place in 2020. So in order to be a little bit conservative, I'm using half the projection. That's the only case. Every other instance had more than one signal. Here's the next signal. This signal takes place on April 10th.

This is what got our clients long. We got a long base in the signal. So in this case, very simple, reasonable, easy signal. NASDAQ 100 declined at least 12% and held its low for eight days. So where eight days pressed the low.

During those eight days, the NASDAQ compositor was up in each of those days, eight out of eight days. Okay, two simple indicators. NASDAQ declined 12% and hold its low for eight days, NASDAQ 100. And the NASDAQ compositor was up eight out of eight days. Very simple indicator, yet it's only happened three times in the past. And that projects, the minimum would be to 79, 42.59, which is only 2.38% above card. That's the actual minimum return. It's not the medium of the minimum return. It's the actual minimum return in history. The median of the maximum return takes up to 89, 53, another 15% gain above Friday's close. Let me show you a little bit about this. See, this signaled on October 18, 1985, September 14, 1988.

August 19th, 2024, and April 10th, 2026. And I showed that we're in line. You see, this little light gray line, and we're in line with the historical returns. So there's no reason to doubt those signals. You see these little gray lights, where we are now. So since we're in line with what happened in the past, no reason to doubt that will not continue. So that's another reason why we're bullish. Not just because of what happened now in July. You see, the way we understand markets is markets make great bottoms. And market grades make great tops. What takes place in between is generally random. It's very difficult to analyze the market on a day-to-day basis. We analyze markets exceptionally well at turning points. But once you get to turning points, you know the market trend is high for half a year or a year or so, depending on history. So anyway, we're still in line. And as I say, the median return is 31.35%. And that projects, as I said, to 89.5399 or up 15% from here.

That's on April 10th. Then we got another signal, as I said, on April 13th. Another very pretty simple signal, and that is SAP, it was nine days off the low. SAP declined at least 9% and held its low for nine days. SAP 500 generated a new 30-day high, which is quite interesting that after a 9% decline, nine days later it had a new 30-day high. NASDAQ had its greatest 10-day rate of change in 180 days, and the SAP 500 10-day rate of change was above 8%. These four occurrences happened four times in the past and the minimum gain you ever saw would take you to 824283 which is another 6.25%. The median of all the maximum gains in the year takes another 12.27%. So this is another reason why we're bullish. Not necessarily bullish

because what happened at the bottom in July, we're bullish because of the bottom that placed in March and bicycles in April. And going through this, as you will see again, this is the 828498 signal.

It's the current signal, but the most important thing, we're in line with the previous signals. The market is not out of sync with what had taken place previously. So our subject, since it's in sync, you should get close to the median, or at least to the minimum. The minimum return is here, and that's another signal. That's on April 13th. That's not the last signal. Then we get another signal on April 4th. Then we've got many signals. Let me show you one for each date. As you know, we got over 30 signals. Let me show you one for each date. This is another signal took place in April 14th, which is 90 days after the law. Russell was up eight of the last nine days. The rest of 2000s, 10-day rate of change was the greatest in 1,260 days, which I think is five years. So the Russell 2000 off the March low had his greatest 10-day gain in five years. Isn't that fascinating? Wow. Even greater than what you saw off the April 2025 law. Even greater than what took place off the COVID law.

Pretty fascinating, right? So it's not only the socks that had a record breaking run off the lows, gaining 100% off the March lows. On a 10-day basis, the Russell had his greatest gain in five years off the lows of March 30th. And the SAP also had its greatest 10-day rate of change in five years, not just the Russell, even the FBI 100. This is a great momentum. So this took place four times in the past, and this projects to a minimum, the minimum gain. We take it to 88, 26, 28, which is another 13% of Friday's close. And the median takes you up another 18%. Now, should we doubt this, let's see where we stand today. Looking at the history right here, we're right in line. We actually were below it, but now we're back in line, you see? So in effect, if you were to ask me this at the July low, I say, well, this signal is no longer working, but now this search took us back in line with historical returns. So I have to give it a benefited doubt.

The signal works four times in the past. It's an amazing signal, amazing momentum now. There's an argument, a logical argument that can be made that this is a false signal. Logical argument, and I don't believe in this logical argument, but people will make this argument, is when the market

surges like this, it's a sign of an unhealthy market. If the market gained more than it's gained in five years, why is that healthy? That's not healthy. That means everyone's buying stocks. My answer is first, the data tells me it's going higher in the past whenever it happened. And secondly, if everyone's buying stocks, That is a very bullish phenomena. It's not a bearish phenomenon unless you see evidence of the top and we don't see evidence of the top Especially how the SP is at a new a new old-time line. That's the signal took place in April April April 14th and immediate gain historic has been 32.08% Okay, now let's go to the next signal. Let's take place on April 15th in one of the many signals. This doesn't this is a cryptic. I don't give you the exact exact formula But we're looking at, and Ned Davis research has a multi-cap equal dollar weighted index, okay? It's big caps, small caps, mid caps, all in one index, but they're equal weighted. They're not cap weighted, okay? And what you do is you're looking for deviation of trend thrust. You're looking for amount of given days, let's say 10 days over 30 days, okay? In this case, it was 2.3 times above the 10-day gain with 2.3 times above the 30-day gain in theory, right? That's a by thrust. So, That took place 11 days after the SAP declined at least 9%. It's simple. You see a deviation trend upside thrust 11 days after a SAP declined 9%. Simple indicator. And again, this projects for a minimum of 97.67, which tells me to be bullish. The history again is You see that here after a major beer market, but here it wasn't after a major beer market. This is what we say 94. It was a 15% decline in Azdec. It wasn't a major beer market at all. Now we decline some 11, 12%. And in 98, we saw it in 2009 and we just see it here. See right off these walls, the market has gained off that and we're in line. We're in line with the history because even since it gained 17%, we're above, so it's still in line, it's a good signal.

that's another reason we have to remain bearish at this time bullish bullish mean bullish until we see evidence to change now that then we get a number seal April 16th April 16th it was 12 days after law and 12 days after law the S&P gained 10 percent above its last 10 percent decline so what is 12 days after the client 9 percent the SP is up 10 percent very simply see people are looking for very complicated indicators And I say we've modeled every market bottom since 1957. We found you don't have to be a genius. You don't have to actually, you just have to be logical conservative and find simple indications that take place at 30 points. And that gives you an edge.

You know, we call our retail product NB Edge. That gives us the edge. So let's see what this tells us. This basically tells us, we'll either get to 79.70, which is only 2.75% above war, or another 17%.

So Milton, in this only this two-part indicator of the S&P declined 9% and a bottom for 12 days. And then it... It 10% over its last low. Gained 10% over its last low. Those are like two principles I see it play. Number one, it was in a bear market. And the low held. And then from that low, there was overwhelming action to the bull. This idea that a market holds a low for 12 days. It's very significant. It seems very simple. William O'Neill built the whole business on what he calls confirmation days. It counts four to seven days off a low, and we built on that. We don't look at four days, we don't look at seven days. We built indicators using one day, two days, three days, four days, five days, up to 25 days off lows, because we're looking for trading points. It's a key that the market held its low for 12 days, and the market gained 10% into a new high, into a new recovery high into this date.

And looking at the history, we're way in line, you see? We're basically in line with historical. So why should I doubt the idea that these singles remain valid? Follow? Let's go to the next one. This single, this took place on April 20th. Okay? Vicks was down eight out of nine days. Number one, which basically means democracy was rallying, but Vicks was down eight out of nine days. The Russell... The rate of change in the nazi rate of change of the of the nazi was above 10% and again the same multi-cap The evasion from trend thrust was 2.3 times great in order the short term was 2.3 times greater for the longer term, which is a thrust This took place four times in the past this projects to minimum of 8600 and in the medium 9400 You know they don't want to bore anybody, but these are the I'm just trying to point out what we do is not based on moving averages I'm doing not based on Anticipating where the price of oil is going to go or doing not anticipating whether the fed will tighten whether they won't tighten not that you know We don't look at the thing everyone else looks at we look at data market-based data and I'm an economist as well I know very much about the economy how to analyze monetary policy But that's not what we trade based on that just in the background of my head if I want to feel good about my views in the market But really we look at the data and in this particular instance as you'll see again We're in line We're getting we're out we weren't

in line Going back until the June peak, but now we're back in line with history and I'll assume that's going to continue. The next single took place, this single is on April 22nd. This only occurred twice in the past. The Russell isn't amazing, okay? I don't look at moving average with crossing. The Russell 2000 traded above its firing moving average for 16 days in a row, okay? Now, interesting. Wow.

The market only bombed 16 days ago, which means at the day of the low, the Russell was above its 5-day moving average. It's kind of fascinating. On the day of the SAP low, the Russell was above its 5-day moving average. Anyway, the point is that the Russell was above its 5-day moving average of 16 days in a row. And the NASDAQ declined at least 13% and held its low for 16 days. Get two simple things together. Projects to a minimum of 85.43 or a medium of 92.99. And let's look at history. History is right here. It took place in September 7th, 82, March 7th, 2016, after just a minor corrective law. And right now, April 22nd, 2026. And we're in line. You see, we're in line with the history. So it's another bullish indicator. Now, of course, the further away you get from a law, the fewer signals we get. But I wouldn't say that it's not as reliable. You're not going to get a 10-day upside thrust three days after a law.

But you're going to get a 10-day upside thrust, 9, 10, or 11 days after a low. So some signals, by definition, can't signal at a low. You have to have the market trade for one, two, or three weeks after the low, until you get to buy a signal. Any event, this is a signal on April 27th. Last signal we got. 1980 after the Nasdaq's decline, the Nasdaq was up 16 of 19 days. Two interesting indicators. Nasdaq made a decline of 10%, held it for 19 days. During those 19 days, the Nasdaq gained in 16 of those 19 days at least. This took place three times in the past. Let's see when they took place. Let's see what happened. It occurred right here. This is very good because it's very similar to our market. I say it's similar to our market because it didn't come after a major beer market. It came after minor correction, you see, right here. It was before 1985. It went straight up.

Then you saw it October 30th 1980s also after minor correction very similar to our case you see right here and you saw it again November 22nd 2023 after also after minor corrections. This is a very very similar to our situation

And he said right here after minor correction, you see and in this case we're out of line with the history Unfortunately, you see and this this late single April 27th. We're not in line So if this is if all I see it would show this I'd say they're not working but since the bulk the vast majority of the of the signals the market is acting properly after the vast majority of the signals we've seen that that keeps us bullish that's really for the most of these signals have very few false signals would that be correct no in this instance none of the signals have false signals exactly that's okay yeah that's my point let me bring up a very good point okay you know again it took me 10 years to create these models okay And I couldn't I couldn't manage money during the period because I can't manage money and spend time doing research at the same time. It's impossible. That's why the the great hedge fund managers hire people to do research for them because they can't do both, even though, like Alex T. Rockingville is great doing research, but he has to have people doing research for him because he's busy trading markets, follow? So anyway, your question is good. When I built my models, I was very tolerant. You know, if 80% of the time the market did well, it was good enough for me.

But I have to going through so many indicate I had thousands of indicators. I was able to call them and limit all signals that didn't work perfectly So I'd say more than 95% of my signals that I use are perfect signals with no real No real drawdowns, which in the world read downs. There's a caveat to that and This is a very important caveat because let's see them. I'm going to give you go back to a previous chart to show you what I mean Okay, let me show you here see 1980 1987 October 1987, right? We got buy signals up to 90,000 to 20,000. The market declined 12% back to its test to the low, but it held the original low. The signal was telling you that that was a turning point. The signal is not necessarily going to tell you that the market won't pull back to test the low. So in some instances, we consider it a valid signal, even though the market pulls back because it held the low. And all the signal is telling you is that's a turning point, and that's a good time to be low in the market. Now, we've adjusted to that. I don't make it complicated.

For institutional clients, we've made it a little more sophisticated, and we would get out after X percent decline and then get back in at a low. But for the retail clients, if you got it in October 1987, we basically ride it unless... I

don't want to make it too complicated, but we're turning point analysis. If the turning point is there, the fluctuations posted turning point don't really matter so much. But most signals don't work this way. Most of the signals, as you will see, are perfect signals. Let me go back to where we just looked at. Anyway, this is the combination of all my signals, not just the ones I showed you. These are all the signals starting on March 24th through April 27th. The median... Go ahead, go ahead. April 27th, the minimum expected return is to take it to 828621 in the S&P, which is another 6.82%. The median of the maximum returns would take up another 15.49% to 8958.23%. Let's look at all our signals.

So Milton, I remember in 2023, the spring, we did an interview, and you literally said, bullish, bullish, bullish. Right. And you said, I challenged the bears. And obviously, that bull call turned out to be low. That's a signal that took place after October 2021. Yup. Yup. So Milton, what is your level of confidence right now relative to your level of confidence when we did that interview, when you said, I challenged the bears. Are you, are you able or willing to say, I challenged the bears today? I would say the following. I would say the following. It's totally the confidence, not the same because that came after a major beer market. This is coming off a minor correction. So this is more of a, of a trading signal because if the mark, as I said, If the market, in October 22nd of 2022, I would say there's no way the markets in the Christian beer are impossible. When I look at what I call as my technical indicators, there was too many bullish indicators to tell you that the market should make a top here. And we hadn't been at that, we're coming to a flow. Now we're at an all-time high in the SP500 with major divergences. I'm not arguing major divergences versus some other broad indexes.

So, you know, maybe you only get to the minimum, which is another 6.82%. It's different than it was then. If somebody asked you where to be positioned, the answer is to be positioned long now, not short, not out of the market, because you just had a correction of, was it 8, 9, 10%, 11% in the NASDAQ, 8% in the S&P, and we had buy singles. You got to be long. But for me to say, it's going to last for a couple of years into a major bull move. I can't say that at the point, but the way to be positioned clearly is to be positioned long. No question about it. I'm going to get to the how we deal

with our mechanical models a little bit later. I just want to tell you what so far as to show clients. We're short into the March 30 laws. We got we excuse me to the June July 29th law were long 100% long. We're not leveraged long and we're watching to see where the markets possibly going to shed a short term top this week because we have a reason to think that there may be many some of the gas may have been exhaustive and maybe we'll at least test the laws.

It's an outside chance we'll break the lows, but that's really an outside chance we break the lows. I have to say there's still a possibility. I mean, maybe there's something out there that we don't recognize, you see? Now, just to point to note, we made a new all-time high on Friday in the S&P, but only 21 stocks generated an all-time higher that day, which is sort of low under the range of when the S&P had an all-time high. I think it's 16 new highs on March 24, 2000. I think it was March 10th, 2000, the day the peak before the .com bubble would peak. Then you saw 16 new highs in the S&P. Now you saw 21 new highs. It's just a very low reading on a day that the S&P is at a new all-time high. Especially when the S&P, the S&P unweighted index just made an all-time high a couple of days earlier. Let me show you this chart. This is pretty fascinating. This is the S&P 500 equal weight index. Now you'll notice this didn't bottom on July 29th. It bottomed July 23rd.

It made a new all-time, let me see, it made a new all-time intraday high on August 5th. And this hasn't been, you know, no correction, you know, it really was basically straight up since the March lows. So that's a very part of the development, but you'd think it's a more new all-time high than the SAP. If the SAP 1500, excuse me, excuse me, I'm sorry, if the SAP unweighted index is at a new all-time high, you'd think it's more than 20 new highs as the SAP is making a new high. That did not happen. Let me just check on a closing basis. It's at a new all-time high right now, August 10th. If the S&P equal waiting will close right now, it'd be at a new all-time high. Melton, I got a question for you. So you saw things to make you bullish about the July 29th low, but you have written how you haven't really seen a lot of buy signals, like firm buy signals, and you said that you don't see evidence of...

that action is breakaway. So what precisely are you waiting to see before you'll see these buy signals? If you see them, which I'm not saying you will. Theoretically, we don't need any new buy signals because the buy signals that are generated in April project out to a year, you know, where the historical projections go. So you don't need any new buy signals. And we'd say what we saw in July 29th, low. was just a minor correction. Let's play face. The SAP only declined 4.5% and a bottomed in June. It didn't bottom in July. So it's just a minor correction, which is a random event to have a minor correction within a bull move. So the fact that we have all these signals in April is enough of a reason to be bullish here. However, with the fact that the leading index, which was in NASDAQ, And the NDEX 100, NASDAQ 100, as well as the Philadelphia semiconductor, the fact that they really declined sharply gives us reason to be a little bit cautious, you know, maybe something's different this time. But again, I don't want to be forced into a bearish posture. The likely scenario was bullish. I don't need any new buy signals. The action off the lows in July was very, very strong, but the thing is lacking. For instance, the divergence is, and I'm going to test the history of these signals.

They're not necessarily bullish. I tested what took place off the July to Lowe's based on history and they don't necessarily give you a bicycle. So tell me about that. Tell me. Well, I'll try to show you. Is this when you said that it's action that looked like May 2000 or something? Yeah, let me show you this one. This took place on August 5th, 2026. This is a recent signal. It's not in my model. You'll see why in a minute. This is a recent signal place on August 5th. Okay. What happened is the Nasdaq's five day gain was its greatest in a year. Earlier we talked about 10-day gains, right? After much loads of the 10-day gains with the greatest in two years This is a Nasdaq's five-day game was greatest in one year in August into August 5th The SUV five-day game was the greatest in one year into August 5th and the X gained over 8% over a five-day period and it filled up exactly 14% over five days. You see? Let's see the history. It signaled on November 2nd 87 It was out of corrective. It was out of retracement rally high the market decline decline 12% to test the law you see That's not a read, you know, so it may be long term is bullish, but no reason won't pull back a single on May 2nd, 1997 is very similar to us This is the case was very similar to our situation. Let me show you This situation here was just after a minor

correction in the S&P similar to what we had now So that that in that instance is very similar to what we saw now in this place the market gained 20% in 109 days This is a double signal, second of May 5th, 1997, August 15th, 1998, October 5th, again a major bull signal. But here, a signal in 2008 during the financial crisis, the S&P declined another 24%. So again, telling you that we called all the signals that aren't perfect in one of the signals we tell our clients to buy based on, but we put in our... That signal happened during...

one of the biggest bear markets and financial crisis in history, which clearly we're not in now. I mean, it could start tomorrow, of course. Well, guess what? What? Clearly we're not in it now. But if you read the headlines and you read it, other people are saying, not me. They're talking about a major crisis in private credit, which is still underlying. So people aren't aware of it yet, or even banks aren't aware of it yet. But it's quite possible that the major financial crisis that I mean, I'm not going to predict it. I don't think it's happening But you know, we're not in a situation now where you can say there's no financial crisis developing We haven't liquefied our economy. No after a great depression after a great recession You could say it's highly unlikely that there'll be another financial crisis taking place Everything has been liquefied. But now the reality is besides margin than the stock market is margin all over the place. I mean, look how many commercial real estate buildings are being held up, you know, just on margin on debt with no real equity. You see? So I don't want to, but what I say is the following. And I not, had I not done my work and tracked every market about it since 1957, I would not have known that on November 28th, 2008, the same bullish stuff took place, yet the market got another 24%, you see?

Now that I know it, and now that I know our perfect singles, I would not act in a single line. I sent it to my clients. This is a report that says that bullish five-day factors. I sent it on August 6. I sent it to my clients. But despite the generally favorable historical record of these combined indicators, we do not view this as a high probability tradable signal. See, we were long, but I can't consider this a high probability signal. I just can't, because a high probability signal will show much better returns in this one, even though the median return after the signal in the past was 37% within a year. I got you. But you had pullbacks of 24% and 12% to do it. So you could take it as a

bull signal and say Milton's out of his mind. Have you had any signals? Milton, have you had any cell signals since the cell signals you had in December that we talked about last time you were on? Yeah, we had these signals and we had the signs of a top in June, which ultimately proved to be a top in the semiconductor index and the NASDAQ 100 and the NASDAQ.

It didn't really affect the broad market, the S&P. What we saw here, we showed you these, there were cycle highs, there was also divergences, there were exhausting gaps into the highs. The stocks had a double island reversal into its high. So we saw that, but the buy signal, the oversold, panic selling, it's July 29th, offset that at least for the short term, maybe even for the intermediate term, especially considering we have buy sales in April, that's still in effect. I can't really pound the table and say anything. And again, if someone's going to tell me that the market's going to crash in the next few months, I would say I can't prove them wrong. I say give me the evidence, but I can't prove them wrong. I say it's too early. I don't have the evidence. The evidence will come later on if it's going to happen. But at this point, I'd say anything on the negative side is possible. We're a totally over leveraged economy. The next move for the Fed is going to be tightening. You already see the two-year bond is tightening. Rates are multi-year highs.

You're seeing the 30th bond at the highest level and also one of the decades, I think. So you're seeing and you're seeing, as you know, a private credit is really collapsing in a way. I mean, this is just a secret banks aren't talking about it, but it seems obvious. I'm private credit. I think that the peak of the private credit doom narrative so far was probably in January or February. A lot of private credit firms have reported that their second quarter and it's actually a little bit of a in improvement. I'm not, you know, I'm not saying that that's super predictive. But Milton talking about the Fed, the two year rate did tighten the pricing in higher, more interest rate hikes from the Fed because the price of oil went up. And now we have this new Fed share who could be hawkish and he says he's going to tame inflation. But my read is actually he's not that hawkish. And I think the long end of the bond yield, the 30 year, the 10 year is kind of sniffing that out. What's your case there on on the Fed?

Well, first of all, I don't have to find Hawkesh or not Hawkesh. I think in order to get inflation down, you're going to have to rein in the money supply and raise rates somewhat. So I think he's going to be forced to raise rates, but it's Hawkesh or not. I don't know, but I think he'll be forced to raise rates. More likely he'll be forced to do quantitative tightening because he's a monetarist and he really is at inflation. Oil and inflation have zero correlation. It's a big mistake to suggest that oil price of any do with inflation. Inflation is a monetary phenomenon if oil prices go up and there's no money to cover it There's going to have to be a decreased prices and other other assets other things people buy just the way it is 500 in my pocket and I have to spend I used to spend 20 in oil and I'm spending 60 in oil I will have to spend less than other things So it's just a false thing to suggest that oil prices have anything to do with inflation. It's really a monetary policy That has to inflation You're talking about long-term inflation So you're basically saying inflation is not PCE or CPI what the Fed measures or what the BLS measures. So okay, we can move on. Yeah, let's move on to that. If everything else be equal, if an oil shock causes the price world to go up, something else will have to go down. Or maybe that's not inflationary at all. Maybe what goes down is the economy or wages or something, but unless you accommodate higher prices, Always higher price of non-inflation. Okay, this is all theoretical thing, but to me it seemed pretty clear you could argue at least it's very little to do with picking stocks. So that's fine. Anyway, okay, now here's where I talked about we spoke about the divergence rate. We spoke about this rate. It's always my report on August 7th. Okay, let's get to the next thing because I want to show you something pretty fascinating, okay? Pretty much covering everything that's relevant to the current market, right? In stocks, yeah. In stocks, okay.

So Milton, a lot of these very advanced signals we're talking about, obviously that's the work you do for your institutional clients. You have a retail product, Milton Berg Edge, that is far, far more simple. Tell us about that, that model as well as the results that you've kind of seen and the philosophy behind it. Yes. Okay. This is the story. As I said, I've been in the market for quite a number of years, you know, 50 years or so or more. I've spent my time. I initially was a pure fundamentalist grave and thought, but eventually I spent my time trying to analyze markets, build models on markets. And I realized that it's almost impossible to call a precise top, but

we're very, very good at calling precise bottoms or near precise bottoms within days of a market low. So this slide illustrates if someone had 10,000 to invest on March 21st, 1957, And he invested in the market and never get out at the top. He waited for the market to decline 8% and they got out. And then waited for a buy-still for my models. That 10,000 would have grown to 1 billion, 152 million, 76,996.13, 18.4% per annum. This is including the reinvestment of dividends. Why? Because we're very, very good in picking market bottoms, but we really could not model market tops. We try to market market top. We're gonna miss.

We're going to get out of the market one day, and the market is going to rally another 50%, because it's almost impossible to consistently pick market tops. So what we decided is to create for retail investors a system where they invested the SP500 on a total-term basis, either despite the rules where they're getting dividends, and they hold on to it until the market declines some 8% or so, which is something we talk about. And then they only get in when we get a buy signal. This would have grown to 1 million. 1 billion, 152 million over the period, 18.4% per annum, which actually outperforms most hedge funds and most great investors over the period. Now drastically, drastically. This shows the history of all the buys and all the sells. Basically shows you 18.4% per annum. The long SP trades, 91% were profitable. And of course, the Teeble trades are 100% profitable. When you get out of the SP, get it to Teebles.

And 81% of the time we're in the market and about 19.9% of the time you're in T-Bills over this long-term period. Now, what is this showing? This shows the actual gains, you know, actual gains per trade. And I want to show you here, this shows the yearly, year-over-year returns based on this model. And I highlighted the years that we were down. So for example, in 1973, the model lost 0.21%, but the SP was down 40.85%, you see? In 1994, the model was 0.88%, but the SAP was up 1.23%. Pretty much matched the S&P. In year 2000, we're down 5.57, SAP down 9%. 2008, we're down 1.35%, SAP down 36.99%. That's on the down years. So basically, what I'm just pointing out is that on a year-over-year basis, there's very little volatility. Very little volatility. If you look where the SAP was down, It's another story, like for example, let's say, let's say right here, at speed down 11% to 2001, we're up 19.93%. You see? At speed down 26%

to 1974, and we're up 20.10%. So Melton, so it's basically, so a lot of some of these programs are like, oh, well, we'll increase your sharp ratio. And so in terms of return, your returns are lower, but our volatility is down even more. So like your risk-adjusted returns are even higher. Your is actually saying the returns are higher.

But Milton, I was like, so all these signals you've had for so long, but these, you know, it is obviously a back test thing. Like Milton Berg edge didn't exist in 1973. Well, the word back test doesn't apply. I'll tell you why. When people use the term back test, they're talking about finding various indicators or market or momentum measures or. or crossing your movie averages or rates of change that they have to test over the years to see which ones work and which ones don't work, right? That's basically what they're doing. We just looked at market bottoms and see what took place over the years when the market bottom, we're looking for rarities, statistical rarities, because my theory is that generally on a daily basis, market movements are random. What happens today is market on 7.9, The SP is at eight points currently. On the news tonight, Simi is going to tell you why it's down. Totally ridiculous. Daily moves in the market are random. However, attorney points, action is not random. Attorney points, momentum is not random, rates of change are not random.

The information you see is not random. It occurs very, very rarely, and it tips you off that a change is going to take place. So it's not a question of backtests. But I'll show you the signals in a minute and get an idea. So I like to turn backtests. Because backtests implies you're sort of trying to find various convoluted combinations. And you're going to see it works. And then you do forward tests as well. Every signal of ours is a forward test. In other words, when I spoke to you in 2003, by, by, by, that was a forward test. I was right because the seal that worked in the past worked in the future. When I spoke to in April of 2026, 2025, after that decline, and I said, buy, buy, buy, that's a forward test because I'm using historical indicated to, and what happened in April this year is also a forward test. When I give my clients, so, but it's a forward test based on the narrative data and the theory is when this kind of narrative data is suggestive of, usually of panic selling of major reversals and so on and so forth.

So your question is good. I don't know if my answer is as good as your question, but I'm trying to explain the term backtests is very negative connotations. Because backtests, as they say, never work. Backtests never work. Because backtests, people just change a parameter by a certain amount, a certain amount, just to get it to fit. This is not data fitting. This is looking at bottoms and seeing which data recruited those bottoms and didn't recruit any other bottoms. And if it did, then those were real market bottoms. And it didn't occur. It's a signal. Let me just continue. the number of trades. An average is one round-trip trade every one and a quarter years for the retail. In other words, the kind of retail investor looking for is not a person who has to watch the screen every day and see what the market is doing. The average trade, you go long and if the T-bills every one and a quarter years. For example, in 2025, you had one trade which occurred on April 4th, 2025. We got out of the market this year, we got in April 10th, one trade for this year as well, you see? Average one round-trip trade per year. Now, I actually Listed every single by date in history just to give you some idea to 21st 57 which is one day before a low November 1st 1960 Various these are all our bicycles you see does the model get back in when you have any by signal whatsoever or they have model goes in at the first by single But the institutional model we're gonna constantly get your firming signals. We're gonna talk about Retail is different for these signals, because they don't stick with the market until the market declines 8%. So this is what we did for the retail. And as I show you, these signals aren't institution of another signal. Institution only has perfect signals. So in other words, while the retail account will get in right here and lose, we call it even further for our institutional to have only perfect signals.

So for institutions, we're recommending, let me get to it. Let me just first finish retail. Any more, let's go back here. I mean- And your retail model is long right now, 100% long right now. Yeah, yeah, let me show you. Let me show you something right now. Look, this might not be updated currently. Yeah, let's go 2026, yeah. Sox, 10 day rate of change in the Philadelphia 7th Index is 20% to greater. And the SAP is at a two year high. Just simple that, okay? That sounds pretty bullish to me. Well, let's look at it is bullish, but I wouldn't this is here. We get it's the last leg up in 87 gained the 28% Okay, it's multiple say in 1997 after minor correction and right here again, it was his own update on June 12th It gains it gains more significantly more by

about 11% since then so this is a single but this is not you know We're ready bullish. I don't really this is not important single we had so many still before that So I didn't really show today in the presentation. That's the last thing we got That is interesting Milton now. Can we among gold silver and oil? What is the your most interesting things you have to say? So you can kind of choose the topic. Well, I know last time you you you came on you said you sold your Goldens and silver the day of the high or I got on to you we talked about go I'm gonna talk about gold now because I prepared to speak about gold just to show the Just to show what happened post post post post a call Twitter if you call on Twitter When I said I sold, no one believed me. Remember they said I had to show my check. Yeah, I believe you, Milton. No one believed me. But do you remember all these guys? They said it's ridiculous. No one sells it at the top, right? We sold the Jerry 29. I tell you, woke up in the middle of the night. I saw what's going on in the futures market goal. I told my wife, we got to sell our gold. This is the top. And we sold. I didn't get the exact top. By the time I got to the dealer during the day, the market was ready lower. But this is our gold sale. Next. I never doubted you, Milton.

Next, we've shown this last time. People say now's the time to buy gold. This is gold in various currencies. GDP-weighted currency, we said, maybe this was the time to buy gold here, or maybe this was the time to buy gold here. But to suggest that the great time to buy gold was right here, made absolutely no sense just looking at a chart. Made no sense. Then I said, if we really had a hyperinflation, a high inflation, why would gold, this is the January really, why would gold relative to crude be so high? Crude also moves in inflation. We discussed this earlier, right? Crude moves with inflation. So why would gold be that extreme to crude? Yep. You divided gold by soybeans, too. And you said... Soybeans, too. Let me show them. This is gold. Again, gold divided by crude, okay? Then we show gold according to relative to housing. I mean, housing also moves with inflation, right? So...

Why don't we go be at the second highest level ever? When we recorded in early February, gold relative to literally every other commodity on the planet Earth was very high. Right. Anyway, my point now is that's not a trading signal. When that happens, it's a long-term signal. For example, this

peak in gold in 1980, relative inflation, led to a 20-year bear market in gold. Even though inflation doubled over the period, It's a 20-year bear market. I believe, I'm not saying a 20-year bear market. I don't believe we saw a trading top in gold. I believe we saw a long-term top in gold. And this is gold to CPI, okay? Silver to CPI. Silver was not the same extreme, but silver has been a dog really, relative to gold for decades already. Silver is trading more like a weak commodity than a strong commodity that gold trades like. So that's silver, let me see.

This is someone on the internet. I don't believe it. I'm gonna show he's trying he's trying to say Going back to 1993 a long-term Cup and handle that the pullback is a pullback to the bull market and it's headed up to You know, I think he's talking about like 3,000 for silver. This is silver I don't buy these charts to me this is showing an extended stock extended market Not a a cup and handle cup and handles make make sense with stocks with companies that have retained earnings Silver doesn't have any retained earnings. This is a long term chart showing that it was at an extreme He might be right the back test within a company little chart I think it was a long-term top and we're not going to be heading much higher. That's my pillion This is the report we wrote on January 30th. I don't know if I showed it to you last time you did you did you did We wrote you nailed it literally the day at the top Let me see we have over here. This is oh now here's silver. Here it is See this upside gap. I was tricked by this guy. I went long on this gap thinking it's impulsive We were out of gold. We traded long here. We got out here believe it or not and I got long hair Mm-hmm, and I was wrong because this gap Three days after low turned out to be an exhaustive gap into her into her tracing relics in a bear market You see so I was very wrong about that. I'm gonna show you the chart. We're upside get this gap in spot on June 15th And this is the low, it's basic. Let's see, it's another shot of silver. What about now? What about now in silver? I'm going to tell you now, I'm going to position along on the upside gap. I write it down, but we were wrong. Let me tell you why I tell you what I hold, why I feel down when you'll see you in a minute. This is turning out to low. We felt this bullish. We got out of Gold, Silver and GDX just a few days ago, right before the big up move we had the last few days. And you know, maybe we'll get back in. I just, since we have what we call the Montgomery Cycles taking place this week.

I think it's likely or more than probable that gold and silver and GDX peek again this week and trade back down to lows. I think we're in a long-term bear market in gold and silver. I think within a bear market, you're going to have very good rallies, maybe one of those rallies, but I thought I'd play it. I got out. I'm probably not playing it now, but if you look at a long-term history of gold and silver chart, even during the major bear markets, of course, they have strong up moves within the bear market. So I say we're in a bear market in gold. I don't think we make new highs. But I think we will have retracement rallies. We had a nice rally up here. I mean, significantly percentage rallying gold. Maybe it was like 30% of his gold right now. We got along here and it was wrong. It was exhaustive. As you can see, normally it's impulsive after a low. It came down close. We got along again, but we got out. We missed these three days of rally. But now we're in a period where you can get a retracement rally top. And we think that's...

More than more than random to get it. So we're out now. Let's see what happens in the next few days We're cautious over the next few days in all markets. We need the cost be my generator a Might be heading down to a retracement low with a test of the low so to the socks And I think it's possible the SP for 100 also just making a short-term top or heading back to the lows You know, we're not pounding a table at anything at this point, but Milton if if the cost if the cost be Nasdaq or semiconductor index go through, i.e. they go below the July 29th lows, is that going to be bearish? If the Cosby goes below this low, I'll show you what I said, I wrote this to my clients. If the Cosby goes below this low right here, this low, an inter-day low, not the closing low, that's very, very, very bearish because in a crash, that should not happen. If it's crashed, it should test it but not get below it. I mean, let's look at the Cosby over those three days.

On a three-day period, cost is down 22.68%. I mean, that's a crash. And crash loads are tested, but crash loads aren't violated. And the test is on a closing basis, you see, it could make a lower low. And that would be very, very normal for it to close, be very normal for the cost speed to close below this low. But you saw on July 30th, but it would be very, very unlikely for it to trade below the inch day low.

of July 29th. So how extreme is the difference between the intraday low and the low? I'll give that right away. Let's put it this way. From the current price of the Caspi, the intraday low is 19% below the current price. Okay? From the closing low, which was the next day, the current price is 12%. Okay. Even the 12% to 19% decline. Yeah. Okay? So anything between 12 and 19% is normal. Anything more than 19% suggests something different, and this is going to go much lower. So if the Cosby sells off 13% from here as we record the afternoon of August 10th, that's fine. But if it sells off more than 19%, Milson's getting very worried. Yes, exactly. OK. We're low on the Cosby. Let's say we're 5% low on Cosby, which is just, you know, we couldn't avoid it. You know, you had a major crash into a cycle date, panic selling, you know, margin calls all over the place.

The market was liquefied. That's what you want to see. A good market is one in which non-liquidity becomes liquidity. That's what happened in that market. Tops occur when there's low liquidity. Bonds occur in conjunction with excess liquidity. Final question about the long bond. The 30-year treasury yield is now at the highest level since I believe 2007. So on a technical basis, it is not looking amazingly healthy to put it mildly. I happen to think. the following. I have a strong, I have a strong view on bonds actually. Yeah. Very strong view on bonds, which nobody shares with me. Let me go to a long term, let me get a long term trial of bonds. Okay. Let's go back to 1980. You see, you see your bonds are now 5.424. Yeah. You're a decade, your bond, it'll be able to be greater. I think your long bonds are way, way, way expensive, way, way cheap. The yields are very cheap. Bonds are expensive. I think that the yields should easily go up to six to six there percent to seven to eight percent as a normal fluctuation over the long term in bonds people are acting the bonds are very uh uh oversold because it's at five point four two percent well let's look at the chart let's look at the let's just look at the chart simple look at the chart look at this from from from 1980 until until basically in two bonds were always above current yields right yes and no reason it shouldn't get above those yields i think this is a normal market This is normal bond action. This wasn't based on inflation at all. Yeah. And Milton, when I, when I entered the business 2019 because of the trend line and then the trend line that happened in March, 2020 with the yields collapsing, literally people would draw a trend line implying that like yields would go negative, like as if the 10 year would go

to negative 3%. Like as if that was their base case. So it just goes to show that, yeah, the trend line has been broken. And I was just literally Milton this morning thinking, you know, to use your rule of.

What can I say with, you know, nothing's telling me that this can't happen. Like the spread between, you know, the yield curve between twos and tens can get as, as wide as like 300 basis points. So nothing says that, you know, with the, even with the fed cuts rates and cuts rates to 3% that the 10 year would go to 6%. Yeah. Okay. I have no problem with the 10 year three are going higher. I don't even think it's negative. That itself is not negative for the stock market. It was negative for the stock market. If it's tightening, if it's liquidity squeezes, if it's bankruptcies, I think it's pretty normal for bonds. I wouldn't buy a 30-year bond, except to trade. I wouldn't buy it to hold at 5.24%. Knowing the history of the United States inflation, why would I? Especially in a taxable account, why would I buy a bond? It's only 5%. It makes no sense.

So, you know, if it's six seven eight percent, at least you're earning something. So I'm not, you know, I think bonds were, I think the federal reserve was going crazy over these years, allowing bonds to get to at its low. The 30 year was at 0.69%. That's crazy. I think it's letting the bond market is taking it back to normal and normal is more like, you know, six, seven, eight percent. So this is my view. I got it. Well, should we leave it there, Milton? Thank you. This was exhilarating. I went through a lot of stuff here. Milton, thank you so much. People can find you on X at Berg, Milton. Your retail service is MiltonBergEdge, MiltonBergEdge.com, and institutional clients can find you at MiltonBerg.com, not MiltonBergEdge.com. Correct.